

Experience

As well performing as this pattern is, I have only traded it once, mostly because it has so many rules that it's hard to find. I don't just *see* the pattern during the stock scans; I have to *hunt* for it. [Figure 14.6](#) shows the damage.

The BARR took shape in April 2018 with the lead-in portion of the pattern (A). The stock formed the bump (B), dropped, and completed the rounded turn. Price climbed up to the trendline and backed off, creating a second bump, C (a dual-bump BARR). When the stock closed above the trendline, I bought at the open the next day, but a position that was about two-thirds the normal size (which is typical. If the trade does well, I'll buy more to fill out the position).

There were lots of warning signs in my notebook entry for the trade: “7 July 2018: huge insider selling (lots of people) but for small amounts as high as 20k shares but most about 3–4k. S&P says strong buy as of 11 May 2018, medium risk. Credit Suisse says outperform but no report available. All analysts are positive on this. Ford says hold, though.”



[Figure 14.6](#) This BARR bottom trade didn't work as expected.

This trade was meant as a long-term holding, with resistance at 82 and 85 and support at 75–77. A stop-loss order was set for 77 or 4.4% below the